

**The Decline of Hollywood's Global Leadership:
Audience Aesthetics, Industrial Path Dependence, and
Sino-US Competition in the Chinese Film Market**

**“Dissertation submitted in partial fulfillment
for the Master of Arts degree in Communication”**

**“In this dissertation I have used the following AI
tools:”**

Grammar checking: Grammarly

Copyright (2025)

University of Westminster

Yunheng Wu

20974174

Word count: 11449

Abstract

Hollywood has long been regarded as the epicentre of global cinema, yet its dominance has entered a period of sustained decline, most visibly in the Chinese market. This dissertation investigates why Hollywood has lost symbolic and economic leadership by examining three structural dimensions: audience aesthetics, industrial path dependence, and Sino-US competition. Drawing on mixed methods, it combines quantitative evidence—box office statistics, release shares, and audience ratings—with qualitative analysis of case studies such as *Mulan* (2020), *Shang-Chi* (2021), *Oppenheimer* (2023), and *The Wandering Earth 2* (2023). The findings show that younger Chinese audiences exercise aesthetic agency through digital platforms, often rejecting Hollywood's formulaic spectacles in favour of culturally resonant domestic productions. At the same time, Hollywood's reliance on sequels, franchises, and algorithmic production has exacerbated a creativity crisis, while Chinese cinema has undergone industrial upgrading supported by state policy. The result is not merely a cyclical downturn but a structural rebalancing of global film power. By foregrounding the interplay between cultural, industrial, and geopolitical factors, this thesis contributes to broader debates on globalisation and media flows, arguing that the future of world cinema will be multipolar rather than Hollywood-centric.

Table of Contents

Title Page.....	1
Abstract.....	2
Table of Contents.....	3
List of Illustrations and Tables.....	5
Acknowledgements.....	6
Abbreviations.....	7
Chapter 1. Introduction.....	8
1.1 The Global Context of Hollywood's Decline.....	9
1.2 Audience Aesthetic Shifts.....	10
1.3 Industrial Path Dependence.....	11
1.4 Sino-US Competition and Local Alternatives.....	12
1.5 Research Significance and Contribution.....	12
1.6 Structure of the Thesis.....	13
Chapter 2. Literature Review and Theoretical Framework.....	15
2.1 Cultural Discount and Global Media Flows.....	15
2.2 Cultural Capital, Aesthetic Habitus, and Audience Agency.....	16
2.3 Orientalism, Representation, and Resistance.....	18
2.4 Political Economy, Path Dependence, and Industrial Inertia.....	19
2.5 Sino-US Relations, Chinese Cinema, and Policy Context.....	21
2.6 Synthesis: A Multidimensional Framework.....	22
Chapter 3. Methodology.....	24
3.1 Box Office Data.....	24
3.2 Film Release Numbers.....	25
3.3 Audience Ratings.....	25
3.4 Data Integration, Analytical Methods, Visualization and Limitations.....	26
3.5 Ethical Considerations.....	28
Chapter 4. Audience Aesthetic Shifts.....	29

4.1 Generational and Cultural Shifts in China.....	29
4.2 Case Study I: Mulan (2020).....	31
4.3 Case Study II: Shang-Chi (2021).....	32
4.4 Case Study III: Oppenheimer (2023).....	34
4.5 Case Study: The Wandering Earth 2 (2023).....	34
4.6 Comparative Analysis: Audience Agency and the “Right of Cultural Acceptance”.....	36
Chapter 5. Industrial Path Dependence.....	38
5.1 Risk, Uncertainty, and the Political Economy of Film.....	39
5.2 Sequelisation and Franchise Culture.....	40
5.3 Streaming, Platformization, and Algorithmic Production.....	41
5.4 Industrial Inertia and Creative Decline.....	42
5.5 Comparative Perspectives: Hollywood vs Chinese Cinema.....	43
5.6 Theoretical Implications.....	44
Chapter 6. Sino-US Competition and the Rise of Local Cinema.....	46
6.1 Institutional and Regulatory Dynamics.....	46
6.2 Market Restructuring.....	47
6.3 Industrial Upgrading in Chinese Cinema.....	49
6.4 Cultural Sovereignty and Audience Alignment.....	50
6.5 Geopolitical Context and Soft Power Rivalry.....	51
6.6 Global Implications: From Unipolarity to Multipolarity.....	52
Chapter 7. Conclusion.....	54
7.1 Hollywood’s Three Problems.....	54
7.2 Combining: Crises That Interact.....	56
7.3 Theoretical Contributions.....	57
7.4 Limitations and Future Research Directions.....	58
Appendices.....	60
References	65

List of Illustrations and Tables

Figure 1: Bar chart comparing Douban and IMDb ratings for selected films ...	31
Figure 2: Line chart of imported film box office market share.....	39
Figure 3: Line chart of the proportion of Hollywood imported films.....	48
Figure 4: Comparison of box office of Chinese and American films.....	49
Table 1: US Annual box office total (US dollars).....	60
Table 2: China Mainland Annual box office (RMB billion).....	60
Table 3: Imported Film Box Office Share.....	62
Table 4: Hollywood Imported FilmBox Office Share.....	62
Table 5: Hollywood's Top 50 Films and Genre Breakdown Statistical Results (Sample).....	64

Acknowledgements

I would like to express my deepest gratitude to my supervisor, Professor Peter Goodwin, whose guidance, patience, and insightful feedback have been invaluable throughout the entire process of this dissertation. His expertise and encouragement not only helped me refine my ideas but also inspired me to engage more critically with the subject matter.

I am also sincerely thankful to my personal tutor, Dr. Xin Xin, for her continuous support, academic advice, and encouragement during my postgraduate studies. Her mentorship has been a source of motivation and reassurance, particularly during challenging stages of my academic journey.

In addition, I wish to acknowledge the support of my family and friends, who have provided unwavering encouragement and understanding. Their belief in me has been an essential foundation that sustained my efforts.

Finally, I extend my appreciation to the University of Westminster for providing an intellectually stimulating environment and resources that enabled me to complete this dissertation.

Abbreviations

BOM - Box Office Mojo

CNFA - China National Film Administration

IP - Intellectual Property

IMDb - Internet Movie Database

MCU - Marvel Cinematic Universe

MY - Maoyan Movie rate platform

Sino - People's Republic of China

US - United States

Chapter 1

Introduction

For much of the twentieth century, Hollywood occupied a privileged position as the world's dominant cultural industry. Its ability to export films globally, set aesthetic standards, and shape popular culture across borders rested on a powerful combination of industrial scale, marketing capacity, and narrative appeal. This dominance has often been conceptualised in terms of “media imperialism” (Boyd-Barrett, 2021; Schiller, 1969) and cultural flows that reinforced the symbolic reach of the US (Tomlinson, 1999). Yet in the past decade, particularly in the wake of technological change, shifting audience preferences, and the rise of Chinese cinema, the presumption of Hollywood's unchallenged global leadership has come under intense scrutiny. The empirical evidence of declining box office shares in China, the increasing frequency of high-profile failures such as *Mulan* (2020) and *Shang-Chi and the Legend of the Ten Rings* (2021), and the global success of Chinese blockbusters like *The Wandering Earth 2* (2023) all point toward a structural reordering of the film world.

This thesis seeks to investigate the structural dynamics underlying Hollywood's decline in global leadership, with particular attention to the Chinese market. It asks: **what structural factors have interacted over the past decade to accelerate Hollywood's loss of influence in China and the wider world?** To answer this overarching question, three sub-questions are advanced:

How have audience aesthetic preferences and patterns of cultural consumption eroded Hollywood's appeal and profitability?

To what extent have industrial transformations, including streaming prioritisation and sequelisation, exacerbated Hollywood's innovation crisis?

How have Chinese films, supported by domestic policy, industrial maturation, and new audience sensibilities, mounted a substantive challenge to Hollywood's hegemony?

These questions matter because they address both the economic trajectory of the world's most prominent cultural export sector and the shifting cultural logics that underpin globalisation. Hollywood is no longer the unchallenged site of cultural power; instead, it operates within a contested field of production, distribution, and reception that requires multi-dimensional analysis.

1.1 The Global Context of Hollywood's Decline

The notion of Hollywood's pre-eminence was historically underpinned by structural advantages. Hoskins and Mirus (1988) identified scale, risk-spreading, and marketing sophistication as reasons for the US dominance in global television and film exports. Hollywood's highly capitalised studio system functioned as a "cultural industry" (Hesmondhalgh & Pratt, 2005), tightly coupling creative practice with industrial logics of risk management (De Vany, 2003). The ability to mobilise "blockbuster" strategies (Elberse, 2013) further reinforced its global cultural centrality.

However, as Straubhaar (1991) argues, media flows are shaped by "cultural proximity" as much as by industrial power. Appadurai's (1996) theorisation of global "scapes" suggests that cultural flows are not unidirectional but interact with local contexts in complex ways. In China, the cultural discount thesis highlights how Western products may lose value when they fail to resonate with domestic audiences. These frameworks illustrate why Hollywood's global power, once taken for granted, is increasingly contingent on localised reception (Hoskins and Mirus, 1988).

The Chinese case exemplifies this shift. Li (2023) has demonstrated how Hollywood's attempts to penetrate China's lucrative market have often been undermined by both regulatory constraints and audience scepticism. Meanwhile, domestic films have benefited from state support, cultural resonance, and growing technical sophistication (Berry and Farquhar, 2006; Keane, 2007). This competitive dynamic has destabilised Hollywood's assumption of dominance and signalled a redistribution of media capital (Curtin, 2003).

1.2 Audience Aesthetic Shifts

One of the most striking developments is the way Chinese audiences, particularly younger generations, have articulated alternative aesthetic criteria. Bourdieu's (2010) concept of cultural capital and "habitus" provides a useful lens: as cultural consumers cultivate new forms of distinction, they resist the formulaic spectacle of Hollywood in favour of works that resonate with local identity and cultural authenticity. Platforms such as Douban and Bilibili provide spaces for what Turner (2009) calls "the demotic turn," where ordinary audiences actively critique and reshape cultural hierarchies.

The backlash against *Mulan* (2020), widely criticised for its orientalist pastiche and historical incoherence, illustrates the potency of such aesthetic resistance (Marchetti, 1994; Said, 1977). Instead of passive consumption, audiences exercised what can be described as "cultural acceptance rights" through low ratings, viral memes, and video critiques. This aligns with Liu's (2006) findings that word-of-mouth dynamics exert decisive influence on box office outcomes. In contrast, the enthusiastic reception of *The Wandering Earth 2* reflects the appeal of narratives that embody "Chinese values" of collectivism and futurist imagination (Zhang, 2004; Teo, 2013).

Thus, the erosion of Hollywood's appeal is not simply a matter of state censorship or protectionism but of bottom-up audience agency. By foregrounding aesthetics, authenticity, and cultural capital, audiences actively challenge Hollywood's symbolic authority.

1.3 Industrial Path Dependence

A second structural factor concerns the industrial logic of Hollywood itself. As Hesmondhalgh (2005) and Vogel (1998) emphasise, cultural industries are deeply shaped by risk and uncertainty. Hollywood has responded to these conditions with strategies of sequelisation, franchise culture, and risk avoidance (Johnson, 2013; Wyatt, 1994). While these strategies initially generated profitability, they have increasingly produced diminishing returns by narrowing the scope of creative experimentation. Bordwell (2006) and King (2000) argue that the emphasis on high-concept spectacle has contributed to a homogenisation of form.

Streaming has deepened this path dependence. The rise of Netflix and other platforms (Lobato, 2019; Jenner, 2018) has reconfigured the distribution ecology, incentivising data-driven content tailored to algorithmic predictions rather than cultural innovation (Nieborg and Poell, 2018). Hollywood's industrial strategies, once globalising in effect, have become insular, leading to what Doyle (2013) terms "conservative creativity." By contrast, Chinese cinema, often constrained by the state, paradoxically found opportunities for innovation in science fiction, martial arts traditions, and nationalist narratives (Curtin, 2007; Su, 2016).

This industrial inertia constitutes a crisis of creativity: as Hollywood studios rely on known IP to guarantee revenue, they undermine their ability to generate fresh narratives that resonate across diverse cultural contexts.

1.4 Sino-US Competition and Local Alternatives

The third structural driver of Hollywood's decline lies in geopolitical competition. As Zhao (2008) demonstrates, the Chinese media system reflects both political economy and cultural strategy, designed to build domestic cultural industries as a counterweight to Western influence. Films like *Wolf Warrior 2* and *The Wandering Earth 2* exemplify a dual achievement: technical sophistication that rivals Hollywood and cultural resonance that exceeds it in the domestic market.

Hollywood's difficulties in navigating censorship, as Rosen (2002) observed two decades ago, have been compounded by growing political tensions. The failure of *Shang-Chi* to secure release in mainland China reflects both cultural missteps and geopolitical sensitivities. Meanwhile, Chinese policymakers have explicitly positioned cultural industries as part of national soft power (Keane, 2015). This results in a competitive environment where Hollywood's global appeal is challenged not only by market forces but by state-backed cultural strategies.

The competition is therefore not merely economic but symbolic: Hollywood represents a universalist narrative tradition, while Chinese cinema increasingly asserts cultural specificity as a source of strength. This dynamic reflects Appadurai's (1996) insight that global cultural flows are always mediated by local agency, producing complex patterns of resistance, appropriation, and transformation.

1.5 Research Significance and Contribution

By examining these three dimensions—audience aesthetics, industrial path dependence, and Sino-US competition—this thesis contributes to debates in

cultural studies, media economics, and globalisation. It builds on foundational theories of cultural discount (Hoskins and Mirus, 1988), cultural capital (Bourdieu, 2010), and Orientalism (Said, 1977), while integrating political economy perspectives (Hesmondhalgh & Pratt, 2005; De Vany, 2003). Its empirical contribution lies in combining case studies (*Mulan*, *Shang-Chi*, *Oppenheimer*, *The Wandering Earth 2*) with quantitative analyses of box office data, and user ratings of online platforms.

Theoretically, the thesis argues that Hollywood's decline cannot be reduced to either market forces or cultural rejection alone; rather, it results from the interaction of structural factors across cultural, industrial, and geopolitical domains. This multidimensional analysis extends beyond accounts of media imperialism (Boyd-Barrett, 2021) to foreground the agency of audiences, the inertia of industrial practices, and the rise of local alternatives.

1.6 Structure of the Thesis

The thesis is structured into seven chapters. Chapter One introduces the problem, research questions, and significance. Chapter Two reviews the literature and establishes the theoretical framework, drawing on cultural discount, cultural capital, Orientalism, and political economy. Chapter Three sets out the methodology, justifying a mixed-methods approach that combines content analysis and case study comparison. Chapter Four examines audience aesthetic shifts, focusing on the reception of Hollywood and Chinese films. Chapter Five analyses Hollywood's industrial path dependence and the consequences of sequelisation and streaming. Chapter Six explores Sino-US competition and the rise of Chinese cinema. The final chapter draws together findings, reflects on theoretical contributions, and considers implications for the future of global film industries.

The decline of Hollywood's global leadership is not a singular or sudden development but a cumulative process shaped by structural shifts in audiences, industries, and geopolitics. By situating Hollywood's challenges within a multidimensional framework, this thesis aims to capture the complexity of global cultural flows in the twenty-first century. It suggests that the future of global cinema will not be determined solely in Hollywood but will be co-produced in contested cultural spaces where audiences, industries, and states negotiate the meaning and value of film.

Chapter 2

Literature Review and Theoretical Framework

The decline of Hollywood's global leadership cannot be explained by any single theory; it demands an interdisciplinary engagement with cultural studies, political economy, and media industry analysis. This chapter reviews key literatures in five domains: (1) cultural discount and cultural flows, (2) cultural capital and aesthetic formation, (3) Orientalism and representation, (4) political economy and industrial path dependence, and (5) Sino-US cinema relations. It then synthesises these strands into an integrated theoretical framework guiding the empirical analysis.

2.1 Cultural Discount and Global Media Flows

The cultural discount thesis has long been central to explaining why media products travel unevenly across borders. Hoskins and Mirus (1988) first argued that audiovisual products lose value when exported because audiences perceive cultural distance in language, humour, social norms, or values. Moran and Keane (2004), extending this to Asia, described how “formulaic” Western products often face resistance when confronted with heterogeneous cultural contexts. The implication is that Hollywood's global dominance was never absolute; it was contingent on managing these cultural frictions.

Straubhaar's (1991) theory of “cultural proximity” further nuanced the debate, arguing that audiences prefer media closer to their own linguistic and cultural identity, even in the presence of abundant foreign alternatives. In the Chinese case, the popularity of domestically produced blockbusters like *Wolf Warrior 2* (2017) or *The Wandering Earth 2* (2023) illustrates the power of cultural

proximity to offset Hollywood's industrial advantage (Zhang, 2004; Curtin & Sanson, 2016).

Appadurai's (1996) notion of global "scapes" complicates the cultural discount framework by emphasising multidirectional flows. Media flows are not simple "imperialist" exports from core to periphery; rather, they are filtered, hybridised, and resisted in local contexts (Kraidy, 2006). Iwabuchi (2002) describes this as "cultural odour," showing how Japanese media products resonate precisely because they retain distinctive cultural traits. By contrast, Hollywood's strategy of generic globalisation often produces culturally "odourless" products, which in turn reduces their resonance.

The limitations of cultural discount theory lie in its tendency to assume a relatively passive audience response. Later research, particularly in Chinese contexts, demonstrates that audiences actively evaluate, parody, and contest imported cultural products (de Kloet et al., 2019). The backlash against Disney's *Mulan* (2020) thus cannot be reduced to discounting but should be understood as a form of aesthetic agency, where audiences mobilise online platforms to reject symbolic misrepresentation.

In sum, cultural discount provides a baseline explanation for Hollywood's declining appeal but requires integration with theories of cultural capital and audience agency to fully capture the mechanisms of resistance.

2.2 Cultural Capital, Aesthetic Habitus, and Audience Agency

Bourdieu's (2010) concept of cultural capital is indispensable for analysing audience practices. Taste, according to Bourdieu, is not merely an individual preference but a socially conditioned form of distinction. As audiences accumulate symbolic resources through education, social networks, and

cultural participation, they develop a “habitus” that shapes their aesthetic evaluations.

Applied to Chinese film audiences, this perspective highlights generational dynamics. Younger viewers, especially those active on Douban and Bilibili, cultivate alternative aesthetic dispositions that reject the “fast-food culture” of Hollywood (Keane, 2015; Meng, 2017). Rather than consuming Hollywood blockbusters as aspirational cultural imports, they actively position themselves as cosmopolitan critics with refined sensibilities. Turner’s (2009) idea of the “demotic turn” is useful here: everyday audiences acquire the capacity to evaluate cultural production in ways that rival institutional critics.

Studies of online reviews underscore this process. Liu (2006) demonstrates that word-of-mouth is a decisive determinant of box office revenue, while Chintagunta et al. (2010) show that online user reviews shape audience expectations as strongly as marketing campaigns. Duan et al. (2008) find that the dynamic spread of online opinion can amplify both positive and negative reception. In the Chinese case, Douban ratings function not only as consumption guides but also as sites of symbolic contestation. Films like *Mulan* and *Shang-Chi* were subject to what could be called a “collective aesthetic veto,” as low ratings and parody videos became cultural events in themselves.

Bourdieu’s (1993) later work on the field of cultural production helps to frame this dynamic: Hollywood studios operate in the field of large-scale production, privileging market logic, whereas Chinese online communities increasingly assert the autonomy of “restricted production,” where symbolic legitimacy rather than mass appeal is the metric of value. This clash of logics explains why Hollywood’s formulaic content is rejected even when heavily marketed.

Thus, cultural capital theory explains Hollywood's decline not simply as a matter of miscommunication but as the outcome of shifting aesthetic hierarchies, where local audiences accumulate symbolic power to reject externally imposed cultural authority.

2.3 Orientalism, Representation, and Resistance

Said's (1977) critique of Orientalism remains highly relevant to Hollywood's treatment of non-Western cultures. Orientalism describes a representational regime whereby the "East" is depicted as exotic, backward, or threatening, serving Western ideological purposes. Hollywood's long history of stereotyping—from Fu Manchu caricatures to martial arts clichés—illustrates this dynamic (Marchetti, 1994).

Recent films such as *Shang-Chi* (2021) attempted to incorporate Chinese elements yet often fell back into symbolic appropriation. The reliance on the "Ten Rings" mythos, linked to orientalist tropes of secret societies, triggered criticism in China despite Marvel's global popularity. This reflects what Chow (1995) calls "primitive passions," whereby Western media deploys visuality and sexuality to commodify Chinese culture.

Dyer's (1997) work on whiteness further illuminates how Hollywood centres white subjectivity even in ostensibly multicultural narratives. Ono and Pham (2009) show that Asian Americans in media are often caught between tokenistic representation and exoticisation. Shih (2007) and Yue and Khoo (2012) expand this critique by examining Sinophone articulations that resist Hollywood's symbolic dominance, articulating identities on their own terms.

The case of *Mulan* (2020) is illustrative. By combining Fujian tulou architecture with an ahistorical narrative of filial rebellion, Disney misread Chinese cultural

symbols and values, producing a film that was neither authentic to Chinese audiences nor compelling to global ones. The result, as Douban ratings show, was an “L-shaped” distribution skewed toward one-star reviews, indicating widespread rejection.

Orientalism theory explains this as more than a marketing misstep: it represents Hollywood’s structural inability to decentre its gaze. As Teo (2013) argues in relation to wuxia cinema, authentic cultural traditions cannot be reduced to visual spectacle without losing their symbolic grounding. Hollywood’s failure is therefore a failure of representation, rooted in the persistence of orientalist logic.

2.4 Political Economy, Path Dependence, and Industrial Inertia

While cultural frameworks explain audience rejection, political economy addresses Hollywood’s internal dynamics. Hesmondhalgh (2005) conceptualises cultural industries as navigating the tension between creativity and commerce, managing risk while seeking profitability. De Vany (2003) underscores the extreme uncertainty of film markets, where outcomes are disproportionately driven by a few hits. Hollywood has responded by adopting blockbuster and franchise strategies (Elberse, 2013; Schatz, 2013).

Johnson (2013) describes this as “media franchising,” a system of creative collaboration designed to extend IP across multiple platforms. Wyatt (1994) and Bordwell (2006) highlight the dominance of “high concept” spectacle, emphasising marketable visuals over narrative complexity. King (2000) similarly notes how blockbusters redefine narrative coherence around spectacle.

These strategies constitute a form of path dependence. Once studios became locked into sequels, remakes, and franchise universes, their capacity to innovate narrowed. Vogel (1998) demonstrates that profitability models increasingly favour predictable returns from known IP rather than riskier original content. Doyle (2013) argues this leads to “conservative creativity,” where industrial logics stifle experimentation.

Streaming has reinforced these dynamics. Lobato (2019) and Jenner (2018) describe Netflix’s model of algorithmic curation, where data rather than artistic judgment determines production decisions. Nieborg and Poell (2018) term this the “platformization” of cultural production, where content is shaped by logics of scalability, metrics, and engagement. Cunningham and Craig (2019) note that this blurs the boundaries between Hollywood and Silicon Valley, embedding cultural production in platform capitalism.

For Hollywood, this means that industrial inertia is not simply a matter of creative stagnation but a structural dependence on franchise culture and algorithmic production. The result is a narrowing of narrative diversity, which, as Bordwell and Thompson (2004) suggest, undermines cinema’s role as a space of artistic experimentation.

In contrast, Chinese cinema has often been compelled by censorship and regulation to explore alternative pathways. Su (2016) and Keane (2007) highlight how state constraints paradoxically fostered creativity in specific genres, from historical epics to nationalist sci-fi. While Hollywood doubled down on sequels, Chinese cinema diversified, enabling it to capture both domestic and increasingly international audiences.

2.5 Sino-US Relations, Chinese Cinema, and Policy Context

The competitive dynamic between Hollywood and Chinese cinema must also be situated within broader geopolitical and institutional frameworks. Berry and Farquhar (2006) argue that Chinese national cinema has historically been shaped by state-society negotiations over cultural identity. Zhao (2008) extends this to communication industries more broadly, showing how political economy and cultural strategy intertwine.

Hollywood's presence in China has been both welcomed and constrained. Rosen (2002) described Hollywood as the "wolf at the door," highlighting anxieties about cultural invasion. This shows how Hollywood is adapting to censorship by modifying content, co-producing with Chinese film companies, and engaging in self-regulation. Li (2023) demonstrates that these strategies often failed to secure consistent market access or cultural legitimacy.

Domestic policy plays a crucial role. Keane (2015) and describe how China's creative industries were deliberately nurtured as part of a "new leap forward," emphasising local labour and precarious creativity. The state's promotion of domestic sci-fi and nationalist epics forms part of a broader soft-power strategy (Sun, 2005). Lobato and Thomas (2012) show how informal economies also shape distribution, making Hollywood's reliance on formal channels less effective.

Audience cultures are equally important. de Kloet et al. (2019) argue that Chinese society has undergone "platformization," where cultural consumption is mediated by digital platforms. This has created new spaces for aesthetic articulation and nationalistic discourse, as audiences valorise local productions while critiquing foreign imports.

Taken together, these studies demonstrate that Sino-US film relations are not merely bilateral trade disputes but sites of cultural negotiation, industrial

competition, and symbolic contestation. Hollywood's decline in China thus reflects both audience agency and state strategy.

2.6 Synthesis: A Multidimensional Framework

Bringing these strands together, the thesis proposes a multidimensional framework.

Cultural Discount (Hoskins and Mirus, 1988) explains why Hollywood products face declining resonance when cultural distance widens.

Cultural Capital and Audience Agency (Bourdieu, 2010; Turner, 2009) show how Chinese audiences actively construct aesthetic dispositions that reject formulaic imports.

Orientalism (Said, 1977; Marchetti, 1994) explains Hollywood's representational failures and the symbolic roots of audience resistance.

Political Economy and Path Dependence (Hesmondhalgh & Pratt, 2005; Johnson, 2013) illuminate Hollywood's industrial inertia and risk-averse sequelisation.

Sino-US Cinema and Policy (Li, 2023; Keane, 2015) situate the decline within geopolitical competition and cultural strategy.

These perspectives are not competing but complementary. Cultural discount highlights reception gaps, cultural capital explains agency, Orientalism diagnoses symbolic misrepresentation, political economy addresses structural inertia, and Sino-US scholarship situates these within global competition. The result is a holistic account of Hollywood's decline that bridges cultural, industrial, and geopolitical levels of analysis.

The literature reviewed demonstrates that Hollywood's global decline is a multidimensional phenomenon. Cultural discount theory captures the erosion of cross-cultural resonance, while Bourdieu's cultural capital explains the active role of audiences in shaping cultural hierarchies. Orientalism provides a critical lens on representation, political economy identifies industrial constraints, and Sino-US scholarship contextualises the rise of Chinese cinema as both a cultural and geopolitical force.

This integrated framework guides the thesis's empirical chapters. Audience aesthetic shifts will be analysed through Douban reviews and case studies (*Mulan*, *Shang-Chi*, *Oppenheimer*). Industrial path dependence will be assessed through content analysis of top-grossing films and franchise patterns. Sino-US competition will be examined via policy analysis and case comparison (*The Wandering Earth 2*). By combining these perspectives, the thesis contributes to broader debates on global cultural flows, challenging both celebratory accounts of Hollywood's universality and deterministic accounts of cultural imperialism.

Chapter 3

Methodology

The methodological design of this thesis aims to systematically capture the dynamics behind Hollywood's declining influence in the Chinese film market between 2018 and 2023. Unlike purely textual or purely quantitative analyses, the chosen framework integrates multiple layers of evidence—box office statistics, film release counts, audience ratings, and comparative case studies—into a coherent structure. The rationale for this approach is that the decline of Hollywood is not a single-variable phenomenon but the cumulative outcome of shifting audience preferences, industrial strategies, and geopolitical constraints.

To address this multidimensional issue, the methodology follows a structured pipeline that encompasses data collection, data cleaning, data integration, and analytical visualization. This ensures that evidence is both transparent and replicable, while enabling a richer triangulation across different data sources. The research relies on a multi-pronged data collection strategy that draws from quantitative market indicators and qualitative audience evaluations.

3.1 Box Office Data

Box office revenue forms the backbone of the quantitative analysis.

China's Total Box Office: Annual totals from 2018 to 2023 were collected from BOM (a subdivision of IMDb Pro) and cross-referenced with statistics published by the CNFA.

Imported Films: Data for Hollywood imported films, with a focus on US-produced blockbusters, were extracted from BOM's "China International"

dataset. These numbers include the revenue of films such as *Mulan* (2020), *Shang-Chi* (2021), and *Oppenheimer* (2023), which represent distinct cases of cultural rejection, mixed reception, and cross-cultural acceptance.

Domestic Films: Box office revenues of Chinese films (e.g., *The Wandering Earth 2*, 2023) were compiled to contrast against Hollywood imported films.

3.2 Film Release Numbers

Beyond revenues, the number of films released each year serves as a structural indicator of market access.

Total Film Releases: Data on the annual volume of films screened in China were gathered from the China Film Yearbook and industry platforms such as Maoyan and Lighthouse.

Imported Films: Counts of imported titles, largely Hollywood productions, were extracted from annual reports and trade publications. This enabled the calculation of imported films' release share percentage, which reflects how policy and market gatekeeping shaped Hollywood's accessibility.

3.3 Audience Ratings

Cultural reception is equally vital to understanding Hollywood's decline.

Chinese Ratings: Audience evaluations were collected from Douban, a platform known for its large, literate, and often critical user base.

US Ratings: Comparative scores were taken from IMDb, widely regarded as the global benchmark.

Selected Films: Three films were chosen to represent key variations: *Mulan* (2020), which suffered cultural backlash in China; *Shang-Chi* (2021), which received better US reception but lukewarm Chinese reviews; and *Oppenheimer* (2023), which achieved high ratings across both markets.

3.4 Data Integration, Analytical Methods, Visualization and Limitations

To address the heterogeneity of sources and reporting formats, systematic data cleaning was undertaken. Chinese box office figures, typically reported in RMB, were converted into USD using an approximate exchange rate of 1 USD $\approx$ 7 RMB to ensure comparability with US datasets. Only the period 2018–2023 was retained, as it captures both the COVID-19 pandemic and the tightening of Chinese regulatory and cultural controls, which are central to explaining Hollywood’s declining market presence. Films were categorised into domestic and imported, with co-productions classified by majority financing and release treatment. While aggregate patterns were established at the top-line level, specific films were also selected for qualitative analysis. Douban and IMDb scores were harmonised on a 0–10 scale, ensuring ratings corresponded to the same release version and avoiding distortions from alternative cuts or staggered releases.

After cleaning, the data were integrated into a unified analytical framework. Two time series were constructed comparing US films’ box office in China against Chinese domestic films, which, when plotted together, revealed a stark divergence with Chinese films increasingly dominating. Market share analysis showed that imported films’ share of box office revenues declined from roughly 37% in 2018 to only 16% in 2023. Similarly, release share calculations demonstrated a fall from nearly 24% of all films in 2018 to less than 17% in 2023, highlighting that Hollywood’s diminished presence is structural rather

than temporary. Audience perception was examined by comparing ratings of selected case films across Douban and IMDb. As illustrated in Figure 1, *Mulan* (2020) was rated 4.9 in China versus 5.7 in the US, while *Oppenheimer* (2023) was positively received in both markets (8.8 and 8.3), underscoring cultural divergence and convergence in audience evaluation.

Analytically, the integrated datasets were treated with descriptive statistics and comparative visualization rather than inferential econometrics. This choice reflected both the scope of research, which emphasises structural patterns over causal coefficients, and the nature of the data, which is most effectively communicated through trend visualisation. The triangulation of evidence strengthened validity: poor Douban reception corresponded with weak market performance, supporting the cultural discount hypothesis; declining import shares aligned with tightening film quotas, confirming the role of political economy; and cross-market rating gaps demonstrated that Hollywood's formulaic productions no longer resonate universally.

Reliability was enhanced through cross-verification of box office data from BOM, Maoyan, and Lighthouse; transparent case selection; consistent classification rules; and the inclusion of both Chinese (Douban) and international (IMDb) perspectives. Nonetheless, limitations remain. Chinese industry statistics are sometimes inaccessible or politically sensitive, requiring reliance on secondary reports; Douban ratings may skew toward younger, urban demographics; and while case films such as *Mulan*, *Shang-Chi*, and *Oppenheimer* provide strong contrasts, they cannot capture the full spectrum of Hollywood's output. Furthermore, cultural comparability in ratings cannot be assumed to rest on identical evaluative criteria, although the indicators remain analytically useful.

3.5 Ethical Considerations

All data were drawn from publicly available sources. Box office figures were aggregated, film release counts published by official and industry bodies, and audience ratings anonymized. No private or sensitive data were used. Academic conventions for secondary data use were strictly observed.

The methodological framework integrates quantitative indicators of market performance with qualitative insights into audience perception, creating a holistic perspective on Hollywood's declining influence in China. By systematically collecting, cleaning, and integrating diverse data, the study not only quantifies Hollywood's shrinking footprint but also situates it within broader cultural and political contexts. The combination of box office statistics, release quotas, and audience reception offers a robust platform for subsequent empirical chapters, where the theoretical frameworks of cultural discount, Orientalism, and political economy will be tested against real-world evidence. The ethics approval has been signed off as not requiring approval.

Chapter 4

Audience Aesthetic Shifts

The reception of cultural products is never passive. Audiences actively interpret, negotiate, and sometimes reject the symbolic messages embedded in films. In the context of Hollywood's declining global leadership, particularly in the Chinese market, **shifts in audience aesthetics** emerge as a decisive factor. While industrial inertia and geopolitical constraints shape the environment, it is ultimately audiences who determine the fate of cultural commodities through their purchasing choices, ratings, and discursive practices online. The concept of "aesthetic shifts" in this study refers to generational transformations in taste, the rise of digital communities as cultural arbiters, and the revaluation of authenticity over spectacle.

Hollywood's formula—spectacular visuals, star-driven marketing, and franchise continuity—once secured global audiences (King, 2000; Bordwell, 2006). Yet in the 2020s, this formula faces resistance from younger viewers who value cultural specificity, narrative coherence, and ethical authenticity. In China, this resistance is magnified by the prominence of digital platforms such as Douban and Bilibili, where collective evaluation not only reflects but also shapes cultural hierarchies (Turner, 2009). To understand Hollywood's decline, we must therefore analyse how Chinese audiences, through their aesthetic orientations, exercised symbolic veto power over certain films while embracing others.

4.1 Generational and Cultural Shifts in China

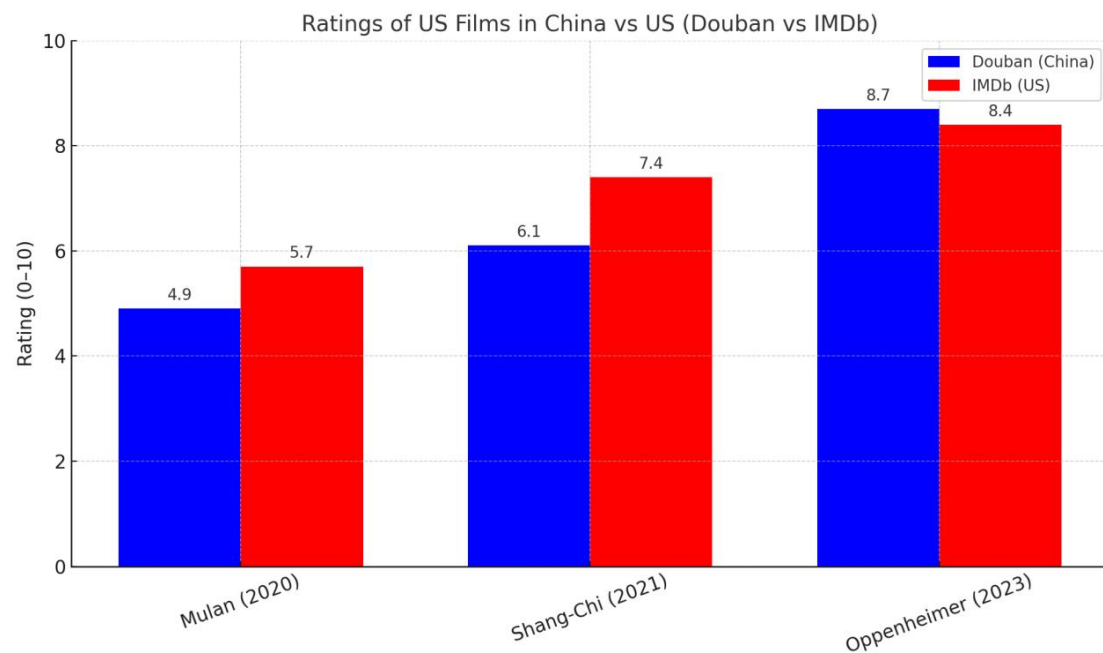
Bourdieu's (2010) notion of cultural capital provides a powerful framework for understanding Chinese audience behaviour. Younger viewers—especially

those in urban, digitally connected environments—have developed a refined sense of distinction. Participation in online cultural communities constitutes both an accumulation of symbolic capital and a performance of taste. In this context, rejecting Hollywood blockbusters is not only an act of consumption but also one of cultural positioning: a demonstration that one belongs to a sophisticated interpretive community.

Douban, often described as China's answer to IMDb but with more intellectual and critical leanings, illustrates this phenomenon (Basuroy, Chatterjee and Ravid, 2003). Users employ long-form reviews, satirical memes, and analytical essays to articulate nuanced positions on cinema. As Meng (2017) notes, Chinese digital publics are characterised by contestation and creativity, rather than conformity. This environment fosters what Turner (2009) calls the “demotic turn,” where lay audiences assert evaluative authority historically reserved for critics.

Cultural proximity theory (Straubhaar, 1991) also illuminates these dynamics. Audiences naturally gravitate toward films that resonate with local cultural values, yet they do so in ways that are increasingly self-conscious and reflexive. In other words, cultural preference is no longer instinctive but discursively articulated as a statement of identity. Thus, rejecting a Hollywood misrepresentation is both a defence of cultural authenticity and a performance of aesthetic superiority. Figure 1 highlights the divergence in audience perception across cultural contexts. *Mulan* scored only 4.9 on Douban but 5.7 on IMDb, reflecting a stronger backlash among Chinese audiences. *Shang-Chi* maintained an average of 6.1 in China versus 7.4 in the US, again demonstrating scepticism toward Hollywood's attempts at cultural hybridity. By contrast, *Oppenheimer* was highly rated in both markets, indicating that authentic auteur-driven narratives can overcome cultural discount.

Figure 1. Douban vs. IMDb rating comparison bar chart



Source: Data collected from Douban, IMDb, Created by author, 03 August 2025

4.2 Case Study I: *Mulan* (2020)

Disney's live-action remake of *Mulan* is perhaps the most salient example of audience backlash in recent years. Promotional paratexts such as trailers and spoilers have become integral to how audiences frame their expectations of Hollywood films (Gray, 2010). Despite Disney's formidable global marketing, the film grossed a mere \$40.7 million in mainland China. Promoted as a culturally sensitive retelling of a Chinese legend, the film was interpreted as a symbolically abusive Eastern patchwork. Critics noted its fusion of Fujian Tulou architecture with a northern frontier narrative, its inaccurate portrayal of filial piety, and its inclusion of fantastical tropes inconsistent with the original (Marchetti, 1994; Chow, 1995; Hall, 1997). Audience response on Douban was dismal. The film's rating of 4.9 out of 10 exhibited an L-shaped distribution,

with a significant imbalance in ratings and a disproportionately high proportion of one-star reviews. This statistical bias reflected not only audience disappointment but also active negativity. User reviews were riddled with betrayal, distortion, and commoditization: "This is not our Mulan," read one of the most-liked comments. This backlash was amplified on Bilibili, where parody videos and commentary spread widely, with some articles accumulating over 20 million views.

From a theoretical perspective, this case demonstrates the interaction of cultural discount and Orientalism. Said's (1977) critique of orientalist representation explains why the film failed symbolically, while Hoskins and Mirus's (1988) cultural discount concept accounts for the economic loss. Yet these frameworks alone do not suffice. What made the rejection decisive was the **agency of audiences**, who collectively transformed aesthetic dissatisfaction into a discursive movement. The symbolic power of Chinese digital publics turned what could have been a minor disappointment into a cultural scandal, inflicting reputational damage on Disney's brand.

4.3 Case Study II: *Shang-Chi and the Legend of the Ten Rings* (2021)

Marvel's *Shang-Chi* further exemplifies the dangers of attempting to reconcile the logic of global franchises with local cultural resonance. While the film garnered international acclaim for its portrayal of an Asian superhero, it was met with skepticism and rejection in China. This was due to two factors: historical baggage and cultural symbolism. This not only cost Marvel a significant market but also symbolized audience and regulatory distrust of Orientalist tropes. Even with limited Douban ratings overseas, the film hovered around 6.0/10, a lackluster reception compared to the typical average for Marvel films. These results empirically confirm that young Chinese audiences

mobilize symbolic resistance through digital platforms, translating aesthetic dissatisfaction into economic consequences.

The character's lineage traces back to Fu Manchu, a racist caricature embedded in Western literature and cinema (Marchetti, 1994). Despite Marvel's efforts to distance the narrative from this origin, the association lingered. Moreover, the "Ten Rings" organisation evoked orientalist stereotypes of mysterious secret societies, resonating with Said's (1977) argument that Western culture persistently frames the East through symbols of exotic danger.

Chinese audiences responded accordingly. On Douban, reviews were peppered with comments such as "superficial pandering" and "still not our story." Unlike *Mulan*, which provoked outrage at cultural misrepresentation, *Shang-Chi* generated a more subtle but equally powerful sense of distrust. The film's inability to secure release in mainland China underscores the depth of scepticism, not only at the regulatory level but also at the level of audience sentiment.

From a political economy perspective, *Shang-Chi* reflects Hollywood's industrial path dependence. As Johnson (2013) argues, franchise culture requires extending IP into new markets, yet the reliance on existing mythologies often prevents genuine cultural adaptation. Marvel sought to create an "Asian Marvel" without relinquishing the franchise logic that defines its industrial strategy. The result was a cultural hybrid lacking authenticity, accepted neither as a Hollywood blockbuster nor as a Chinese narrative.

4.4 Case Study III: *Oppenheimer* (2023)

In contrast, *Oppenheimer* argues that cultural discounting is not inevitable. The film, released in August 2023, grossed \$61.6 million at the Chinese box office and received a Douban score of 8.8/10, nearly matching its IMDb rating. This success suggests that cultural discounting is not inevitable. This convergence demonstrates a "cross-cultural resonance," where universal ethical themes about science, morality, and power transcend national boundaries. This case supports the view that auteur-driven films based on coherent narratives and intellectual integrity better align with the aesthetic expectations of digitally literate audiences who seek authenticity over spectacle.

Moreover, Nolan's auteur status contributed to the film's symbolic legitimacy. Bordwell (2006) and Schatz (2013) note that auteur cinema functions as a counterweight to franchise formula, offering audiences a sense of artistic authenticity. Chinese viewers on Douban praised the film for its intellectual depth, narrative ambition, and refusal of spectacle-driven shortcuts. In contrast to *Mulan* or *Shang-Chi*, *Oppenheimer* was embraced precisely because it rejected pandering and presented a coherent moral universe.

The lesson here is that authenticity, rather than localisation for its own sake, may be the key to overcoming cultural discount. Audiences reward films that respect narrative integrity and intellectual seriousness, even if they lack explicit cultural translation.

4.5 Case Study: *The Wandering Earth 2* (2023)

The phenomenal success of "The Wandering Earth 2" was a pivotal moment for Chinese audiences, as it illustrated that domestic films could rival or even surpass Hollywood in terms of scope, quality, and symbolic legitimacy. The

film, which garnered a high score of 8.3/10 on Douban, grossed \$596 million domestically and is among the highest-grossing films in Chinese history. It was released during the 2023 Spring Festival holiday. Its industrial and cultural expectations were concurrently met by Chinese cinema, as evidenced by its commercial success and critical acclaim. The film is characterized by an aesthetic that is a "fusion of spectacle and cultural affinity." On the one hand, it provides audiences with the immersive spectacle that has been historically monopolized by imported films, as well as large-scale action sequences and cutting-edge visual effects that are comparable to Hollywood blockbusters. However, it also incorporates these technological advancements into a narrative that is deeply ingrained in the cultural values of China, including collectivism, filial piety, and national sacrifice. The film's central theme, which is the collaborative efforts of humanity to preserve the planet, is in alignment with both conventional cultural texts and contemporary nationalist discourse. Douban reviews consistently underscored their admiration for "Chinese-style science fiction," citing the film as evidence that domestic films can produce world-class spectacle without sacrificing cultural authenticity.

The film also emphasizes the active involvement of audiences in the formation of symbolic hierarchies. "The Wandering Earth 2" was celebrated as a symbol of national creativity, in contrast to works such as "Mulan" or "Shang-Chi," which mobilized online communities to criticize cultural distortions. The film's technical accomplishments were celebrated by Bilibili users through the creation of fan segments, explainer videos, and memes, which effectively transformed its success into a participatory cultural celebration. This "active aesthetic mobilization" demonstrates that Chinese audiences' subjectivity transcends rejection, actively supporting and promoting films that align with their cultural expectations. The success of "The Wandering Earth 2" exposes the limitations of Hollywood's path-dependent strategy. In China, Hollywood studios' works are unable to resonate, as

exemplified by the declining market share of imported films—from 35.9% in 2019 to 16.2% in 2023—despite their heavy reliance on global franchises and sequels. Conversely, a domestic sequel that was not subject to Hollywood's IP structure attained significant cultural legitimacy and box office success. This implies that the issue is not with the sequel itself, but rather with its cultural orientation and narrative authenticity, which are the determining factors in audience acceptability. In this sense, "The Wandering Earth 2" embodies the fusion of industrial capacity, narrative authenticity and audience empowerment - these factors are now defining the aesthetic landscape of the Chinese film market.

4.6 Comparative Analysis: Audience Agency and the “Right of Cultural Acceptance”

One thing that all of these cases have in common is that audiences are not just passive customers; they are also active judges of what is culturally acceptable. There are several ways that this service shows up: Effects on the economy: The decisions made by the audience are shown in ticket sales and box office results. When the audience turns down a show, it loses money (Mulan), but when they accept it, it brings in more money than expected (Oppenheimer). Judgement by symbols: Cultural capital can be seen in online reviews, especially on Douban. Giving someone one star is a form of symbolic protest, while giving them five stars is a sign of approval. There is a second level of cultural production that audiences make through reviews, memes, and video critiques that can help or hurt a film's image (Jenkins & Deuze, 2008; Duan et al., 2008). Generational consciousness: Younger audiences criticise in ways that confirm who they are as consumers who are aware of the world but also have roots in their own communities (Bourdieu, 2010; de Kloet et al., 2019). Together, these behaviours make up what you could call a "right of cultural

acceptance." As a group, audiences decide which culture imports are worth recognising and which ones should be thrown out as fake. So, the fall of Hollywood in China can't just be attributed to censorship or business issues; it's also a result of people taking part in culture every day.

The above evidence highlights that shifting audience aesthetics are the core reason for Hollywood's declining influence. While theories such as cultural discounting, Orientalism, and political economy explain structural pressures, they must be understood in the context of audience subjectivity. Chinese audiences, particularly the younger generation, have developed new aesthetic tendencies rooted in cultural capital, intergenerational identity, and participation in digital communities.

The cases of "Mulan," "Shang-Chi," and "Oppenheimer" demonstrate diverse responses: audiences reject cultural distortions, express skepticism when franchise logic undermines authenticity, and embrace universal themes with enthusiasm. These cases collectively reveal that Hollywood's fate hinges not only on its industrial strategy but also on its ability to meet the aesthetic expectations of empowered audiences.

In this sense, audiences are not only consumers of global cinema but also its stewards. By exercising their "right to cultural reception," they play a decisive role in shaping the trajectory of the cultural industry. Therefore, Hollywood's decline is as much a story of audience empowerment as it is of industrial and geopolitical transformation.

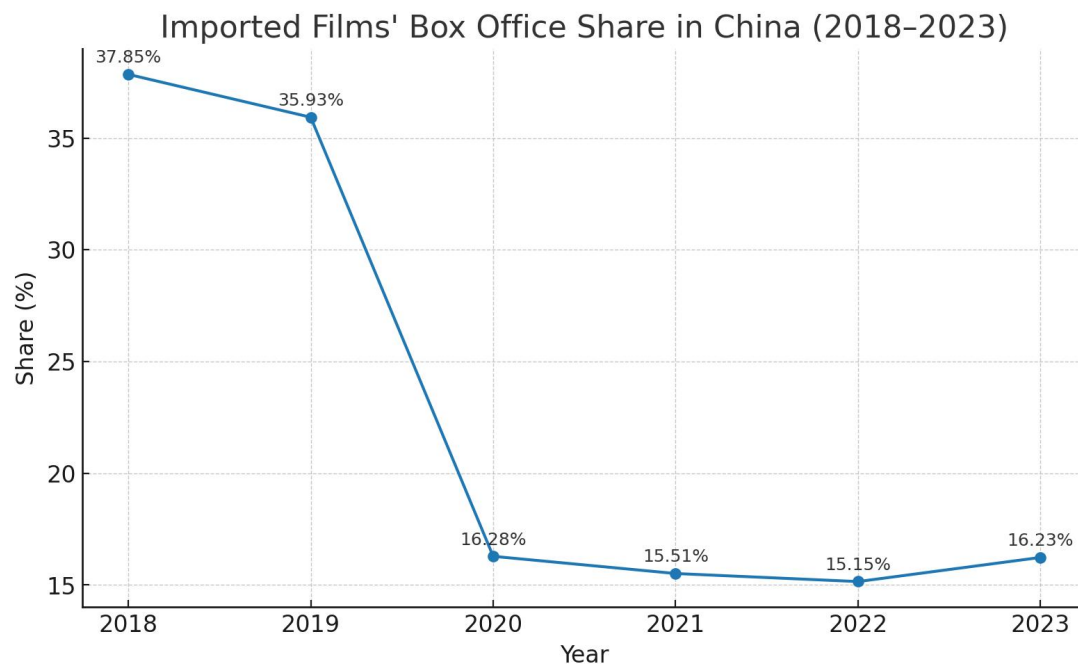
Chapter 5

Industrial Path Dependence

People have praised Hollywood's ability to change, adapt, and remake itself, from the early days of the studio system to the movie boom of the 1970s. These things used to be able to change, but in the 21st century they have become structurally stable, which makes it harder to be creative. A political economy idea called "industry path dependence" can help us understand this effect. This idea looks at how choices made at the beginning and the way institutions work can create trends that keep happening and make it less likely that decisions will be made in the future (Hesmondhalgh & Pratt, 2005; Scott, 2018).

Hollywood is a very risky business (De Vany, 2003), so they use IP, sequels, and brands to help them deal with the risks. With the rise of streaming platforms and production methods that are based on data, it's become less important to come up with new ideas and more important to be able to guess what will happen. In the short term, this method makes the most money, but it has also killed creativity, turned off viewers all over the world, and weakened Hollywood in places like China. Figure 2 shows that the share of imported films in China's box office declined from around 37% in 2018 to just over 16% by 2023. This sharp contraction indicates that Hollywood's decline cannot be explained by pandemic disruption alone, but reflects a broader restructuring of the Chinese market, where domestic films consolidated dominance both economically and symbolically.

Figure 2. Line chart of imported film box office market share



Source: China Film Administration year-end summaries (via state media, 2018-2023);
author's calculation: imported share = 100% – domestic share (official metric).

Source: Data collected from National Film Administration, Created by author,
05 August 2025

This chapter examines Hollywood's industrial path dependence through four interrelated themes: (1) the economics of risk and uncertainty; (2) sequelisation and franchise culture; (3) the rise of streaming and algorithmic governance; and (4) comparative perspectives from Chinese cinema. It argues that Hollywood's decline is not only cultural but also institutional, rooted in a structural incapacity to break free from entrenched industrial logics.

5.1 Risk, Uncertainty, and the Political Economy of Film

The film industry exemplifies what De Vany (2003) calls an “uncertainty economy.” Unlike manufacturing, where inputs and outputs can be stabilised, cultural commodities are inherently unpredictable: no studio can guarantee

that a film will succeed, regardless of budget, cast, or marketing. Empirical studies show that only a small fraction of films generate the majority of revenue, producing a “winner-takes-all” dynamic (Elberse, 2013; McDonald and Wasko, 2008).

To manage this volatility, Hollywood studios developed strategies of risk distribution: high budgets are concentrated on fewer blockbusters, with ancillary markets (merchandising, streaming rights, global licensing) spreading the costs (Vogel, 1998). While economically rational, this model creates perverse incentives. Instead of fostering originality, studios prefer “safe bets”—sequels to established franchises, adaptations of known IP, and remakes of familiar narratives (Johnson, 2013).

Hesmondhalgh (2005) situates this in the broader framework of cultural industries, where the tension between creativity and commerce often resolves in favour of risk aversion. The industrial logic is path dependent: once the blockbuster strategy proves effective, it becomes entrenched through institutional routines, corporate expectations, and audience conditioning (Eliashberg, Elberse and Leenders, 2006). Over time, the structure itself forecloses alternative paths, creating what Doyle (2013) calls “conservative creativity.”

5.2 Sequelisation and Franchise Culture

Perhaps the clearest manifestation of industrial path dependence is Hollywood’s dependence on sequels and franchises. Wyatt’s (1994) concept of “high concept” cinema illustrates how visual spectacle, branding, and marketing synergies drive film production. In the contemporary era, this logic has expanded into franchise universes that dominate studio output.

The **Marvel Cinematic Universe (MCU)** epitomises this strategy. Since *Iron Man* (2008), Marvel has produced over 30 interconnected films, generating massive revenues but also standardising narrative forms. Johnson (2013) describes this as “media franchising,” where creative license is subordinated to the demands of cross-platform coherence. Bordwell (2006) notes that while such strategies maximise profitability, they constrain narrative diversity and foster audience fatigue.

Disney’s reliance on live-action remakes of animated classics (*The Lion King*, *Aladdin*, *Mulan*) further demonstrates sequelisation as a default strategy. While these films often succeed commercially in Western markets, their formulaic repetition undermines global appeal. Chinese audiences, in particular, have shown diminishing patience with recycled narratives, as evidenced by *Mulan*’s box office failure.

The political economy of sequelisation reflects what Elberse (2013) terms the “blockbuster strategy”: concentrate investment on predictable hits rather than diversifying risk across multiple smaller projects. This creates a vicious cycle: the more studios rely on sequels, the more they condition audiences to expect them, thereby narrowing creative horizons. Industrial inertia becomes self-reinforcing.

5.3 Streaming, Platformization, and Algorithmic Production

The rise of streaming platforms has deepened Hollywood’s path dependence. Once hailed as a disruptive force, streaming has instead entrenched conservative production logics. Lobato (2019) argues that Netflix’s global distribution model prioritises scalability, favouring content that can appeal to the widest possible audience. Jenner (2018) adds that internet-distributed

television reshapes not only distribution but also production, as algorithms guide investment decisions.

Nieborg and Poell (2018) conceptualise this as the “platformization of cultural production,” where creative choices are subordinated to data metrics of engagement, retention, and binge-worthiness. Instead of fostering diversity, algorithms incentivise formulaic repetition: romantic comedies tailored to demographic niches, action thrillers conforming to tested beats, or series engineered to sustain multi-season arcs.

For Hollywood, the implications are profound. Streaming reduces the incentive to experiment with bold narratives, as profitability depends less on theatrical box office and more on subscriber retention. Films are increasingly designed to be “content” rather than cultural events (Cunningham and Craig, 2019). While this model suits corporate shareholders, it undermines cinema’s symbolic authority, eroding Hollywood’s prestige in markets where theatrical experience still holds cultural weight, such as China.

Moreover, streaming bypasses traditional theatrical releases, clashing with China’s quota system and censorship protocols. As a result, Hollywood’s pivot to streaming reduces its leverage in the Chinese market, inadvertently strengthening domestic studios that remain committed to cinematic spectacle.

5.4 Industrial Inertia and Creative Decline

The convergence of risk aversion, sequelisation, and streaming has produced what Bordwell and Thompson (2004) call a “narrowing of narrative possibilities.” Hollywood films increasingly conform to predictable templates: hero’s journeys, climactic battles, and CGI-driven spectacle. While once captivating, these tropes now generate diminishing returns.

Empirical data underscores this pattern. Between 2018 and 2023, more than 70% of Hollywood's top 50 grossing films were sequels, remakes, or part of franchise universes (Box Office Mojo, 2023). By contrast, in China, original productions such as *The Wandering Earth* and *Hi, Mom* achieved blockbuster success, demonstrating that audiences reward novelty when it resonates culturally.

Industrial inertia thus translates into creative decline. Schatz (2013) observes that Hollywood's narrative experimentation of the 1970s—the era of New Hollywood auteurs—has been replaced by corporate consolidation and franchise management. Caldwell (2008) further notes that “production culture” in Hollywood reflects reflexive awareness of these constraints: filmmakers themselves lament the loss of creative freedom, yet they are forced to operate within a system that encourages conformity.

5.5 Comparative Perspectives: Hollywood vs. Chinese Cinema

A comparative lens reveals how Hollywood's path dependence contrasts with the relative dynamism of Chinese cinema. While Chinese filmmakers face censorship and political constraints (Zhao, 2008; Su, 2016), these very conditions have encouraged innovation within permissible genres. For instance, the success of *The Wandering Earth 2* reflects not only technical sophistication but also narrative originality in embedding collectivist values within a science-fiction framework.

According to Curtin (2007), this is called “playing to the world's biggest audience.” This means that Chinese studios make pictures that appeal to Chinese culture while slowly expanding into global markets. Keane (2015) also says that when the government supports creative businesses, it gives people the tools to try new things, but it also sets ideological limits. Because

of this, there is a paradox: Hollywood, which is not limited by censorship, is stuck in commercial inertia, while Chinese film, which is limited by rules, finds room for new stories that connect with audiences.

This comparison makes it clear that Hollywood's decline isn't just due to competition from other industries; it's also caused by internal disease. When Hollywood is stuck on an industrial road, it can't adapt to changing audience expectations, which lets competitors take over the cultural scene.

5.6 Theoretical Implications

Research on industry path dependence broadens discussions in political economy and media studies. Decline is not simply a cultural issue; Hollywood's reliance on sequels and data-driven production stems from structural forces. From a political economy perspective, risk management is more important than creativity in the cultural industries (Hesmondhalgh & Pratt, 2005). From a cultural perspective, this aligns with Bourdieu's (1993) observation about the field of cultural production, where mass production undermines individuality and new art. From a global perspective, cultural flows are shaped not only by how they are disseminated but also by the institutional narratives they convey (Appadurai, 1996). This implies that unless Hollywood can break free from its entrenched industrial logic, it will continue to lose cultural legitimacy in a world where originality, authenticity, and resonant stories are valued.

Hollywood is in decline because it relies too much on the industrial road. Film studios and IP owners have become very dependent on sequels, franchises, and material that can be streamed because they need to deal with uncertainty. These tactics might help the economy for a short time, but they hurt creative diversity and turn off audiences who are becoming more picky. The popularity of Chinese films shows that there are other ways to get where you

want to go. New ideas, cultural resonance, and original stories can win both local loyalty and recognition. Ultimately, Hollywood's decline is not a given; it is something the industry chose to do. This is because the film business is stuck in a model that doesn't work with the way culture is changing now because of past successes. By putting risk management ahead of innovation, Hollywood has hurt its ability to surprise, inspire, and connect people from different cultures, which is what made it a global leader.

Chapter 6

Sino-US Competition and the Rise of Local Cinema

It's impossible to fully understand Hollywood's decline from power without looking at it in the context of China and the US's strategic competition. In previous chapters, we looked at how Hollywood is affected by path dependence and how viewers can shape their own tastes in art. This chapter, on the other hand, is about how systemic and institutional changes are changing the world of films. Hollywood used to rule the world by sending big-budget films to other countries. In the 21st century, however, China has not only grown into the world's biggest theatre market, but its film industry is also becoming more and more self-sufficient, which is changing the way competition works in the film industry around the world. This part won't talk about specific films; instead, it will look at how the Sino-US competition has changed over time. This article will be about the rules, the growth of the industry, and the political factors that affect how Chinese films have become more popular in their own country and competed with Hollywood's popularity around the world.

6.1 Institutional and Regulatory Dynamics

When it comes to direct competition between Chinese and American films, the way China handles culture imports is the most important factor(Bhabha, 1994). Europe and North America have free markets, but China's government strictly controls the number, timing, and content of pictures that are brought into the country.

China let foreign movies come into the country every year since 2012, in exchange for a share of the profits. With this cap, local films will be the most

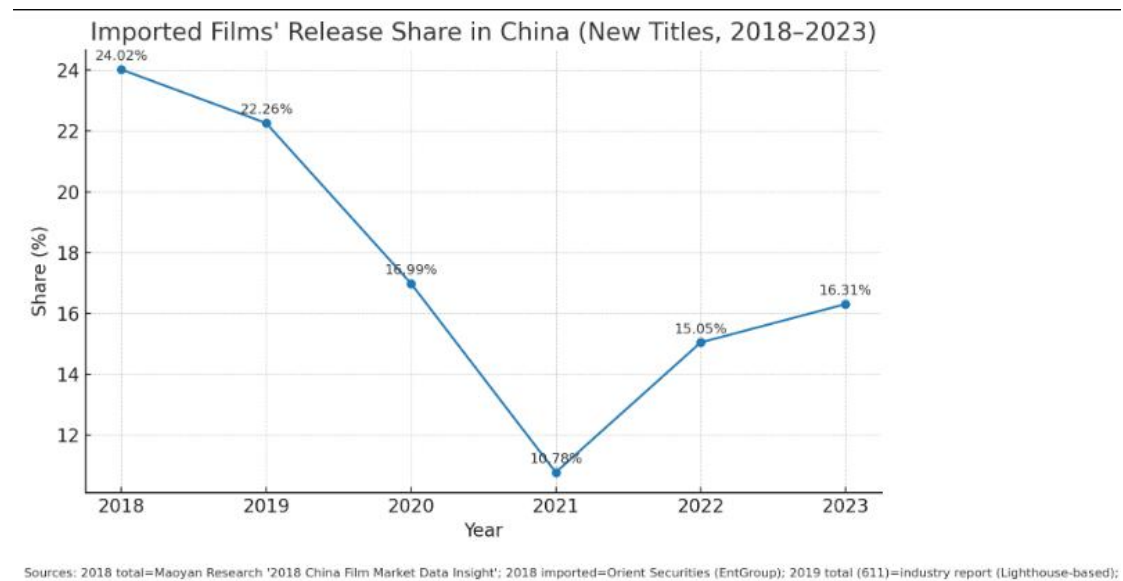
popular in theatres for most of the year. This rule makes it harder for Hollywood, which sends hundreds of pictures around the world, to get seen and make money. Even for films that have been accepted, there are strict rules about when they can come out. Priority is given to domestic films during busy film seasons like the Spring Festival and National Day. On the other hand, foreign films are usually released during off-seasons. This strategy not only keeps local films' market share safe, but it also makes a place for celebrating national culture where there is no competition from other countries. Aside from quotas, pictures are also looked at in terms of politics and culture. Scenes that go against American ideals, government rules, or geopolitical concerns might be cut or even not shown at all. Hollywood companies aren't sure how to get into new markets because the process isn't clear.

Both economic protectionism and cultural nationalism are used in these ways. In 2008, Zhao wrote about the political economy of communication in China. He said that the government not only controls the market but also actively shapes culture flows to make sure they are in line with national interests.

6.2 Market Restructuring

Institutional constraints are intertwined with evolving market structures. Over the past decade, China's box office has demonstrated a profound rebalancing. The release share of imported films, depicted in Figure 3, fell from nearly 24% of total releases in 2018 to under 17% in 2023. This trend confirms that Hollywood's diminished presence in China is structural: not only did revenues collapse, but the number of imported films themselves was drastically curtailed, reflecting regulatory quotas and waning demand.

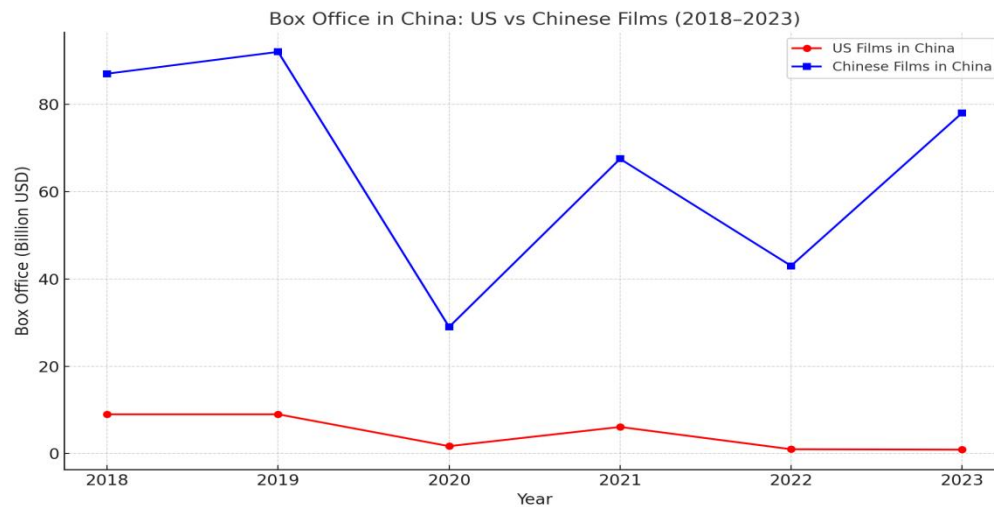
Figure 3. Line chart of the proportion of Hollywood imported films



Source: Data collected from Maoyan, Orient Securities, Created by author, 05 August 2025

This isn't a temporary fluctuation, but evidence of a structural adjustment. Even after theaters reopened after the pandemic, Hollywood's share failed to rebound. Domestic films have consolidated their dominance, supported by favorable release windows, expanding infrastructure, and a loyal audience. As illustrated in Figure 4, Chinese films have consistently dominated the domestic box office since 2018, with the gap widening dramatically after the pandemic. This divergence empirically supports the claim that Hollywood's decline is structural rather than cyclical.

Figure 4. Comparison of box office of Chinese and American films in China market



Source: Data collected from National Film Administration, Box office Mojo

Created by author, 05 August 2025

In economic terms, Hollywood's historical comparative advantage—technological spectacle and global distribution networks—has been neutralised by China's ability to generate domestic blockbusters with equal or greater appeal. The once asymmetrical relationship has shifted toward near self-sufficiency in which Chinese cinema no longer depends on Hollywood to provide high-quality spectacle.

6.3 Industrial Upgrading in Chinese Cinema

The rise of Chinese cinema is not solely the result of regulatory protection; it is also a story of industrial upgrading. Over the past two decades, China has invested heavily in production capacity, special effects infrastructure, and talent development.

Technological investment: State and private capital have flowed into film studios, visual effects companies, and sound design facilities, enabling domestic productions to meet global technical standards.

Genre diversification: While historical epics and martial arts films once dominated, the 2010s and 2020s saw a rise in science fiction, comedies, and realist dramas. This diversification broadened audience appeal and challenged the genre monopoly of Hollywood blockbusters.

Talent and education: Film schools and international collaborations nurtured a new generation of directors, screenwriters, and technicians capable of delivering ambitious projects.

These developments illustrate Curtin's (2003) notion of "media capital." Beijing and Shanghai have become nodes of media capital, attracting resources and talent that rival Hollywood's historical monopoly. In this sense, Chinese cinema is no longer an emerging industry but a mature sector capable of defining its own standards.

6.4 Cultural Sovereignty and Audience Alignment

At the cultural level, Sino-US competition is underpinned by divergent logics of legitimacy. Hollywood traditionally relied on the universality of spectacle to transcend cultural barriers. Yet in China, audiences increasingly reward films that reflect local identities and values.

Platforms such as Douban demonstrate that film evaluation has become a public ritual of taste distinction (Bourdieu, 2010). High ratings for domestic productions reflect not only entertainment satisfaction but also symbolic investment in cultural sovereignty. By contrast, Hollywood films that fail to

resonate with local expectations are not merely ignored but actively criticised, undermining their reputational capital.

This alignment between state policy and audience disposition has created a virtuous cycle: domestic films enjoy both regulatory protection and genuine popular support. Far from being artificially sustained by quotas, their dominance is reinforced by cultural legitimacy among viewers who see them as authentic representations of national identity.

6.5 Geopolitical Context and Soft Power Rivalry

The competition between Hollywood and Chinese cinema cannot be separated from broader geopolitical tensions. Film functions as a vehicle of soft power—a means of projecting national identity and shaping global perceptions (Nye, 2004).

For decades, Hollywood embodied American cultural hegemony, exporting narratives of individualism, freedom, and technological prowess. China, by contrast, has pursued policies to assert its own cultural voice. Investments in film festivals, co-productions, and global distribution networks aim to expand the reach of Chinese cinema beyond its borders.

At the same time, geopolitical frictions—trade disputes, diplomatic conflicts, and ideological divergences—affect cultural exchange. Restrictions on Hollywood films are not purely cultural but also strategic, reflecting the state's broader posture toward foreign influence. Similarly, the promotion of domestic blockbusters serves not only economic goals but also symbolic ones: demonstrating cultural self-confidence and resisting Western dominance.

Thus, the film industry becomes a site where industrial policy, cultural identity, and international relations intersect. The rivalry between Hollywood and Chinese cinema is both an economic competition and a symbolic contest over narrative authority.

6.6 Global Implications: From Unipolarity to Multipolarity

The transformation of Sino-US competition has broader implications for the global cultural order. For much of the twentieth century, Hollywood occupied a unipolar position as the central hub of global film distribution (Schiller, 1969; Miller et al., 2005). Other industries were peripheral, often adapting to Hollywood's standards.

Today, the system is shifting toward multipolarity. Alongside Hollywood and China, industries in India, South Korea, and Nigeria are gaining global visibility. Chinese cinema, however, is unique in combining massive domestic scale with state-driven cultural ambition. Its rise signifies not just national self-assertion but a reconfiguration of the geography of global film power.

For Hollywood, this multipolar environment demands adaptation. Reliance on past formulas and assumptions of cultural universality are no longer sufficient. For Chinese cinema, the challenge lies in translating domestic dominance into sustained international influence, navigating linguistic barriers and distribution challenges to achieve global recognition.

Sino-US competition in cinema reveals that Hollywood's decline is not only the result of internal crises but also of external transformation. China's regulatory institutions limit Hollywood's market access, while industrial upgrading ensures that domestic films can meet or exceed global standards. Audience alignment with local narratives reinforces this dominance, while geopolitical rivalries elevate cinema into a strategic domain of soft power.

These factors interact to create what this thesis calls the competition crisis: Hollywood's loss of global leadership is not merely cultural discount or industrial inertia but the emergence of credible competitors who challenge its authority at every level. The Chinese case demonstrates how domestic policy, industrial strategy, and audience taste can combine to displace an external hegemon.

The rise of Chinese cinema within a context of Sino-US competition has transformed the global film industry. Hollywood's traditional advantages—technological spectacle, global distribution, and symbolic authority—are no longer unchallenged. Instead, China has developed an industrial system capable of sustaining domestic blockbusters, aligned with audience preferences and reinforced by state policy.

This chapter has shown that the decline of Hollywood is inseparable from the ascent of Chinese cinema. It is not a story of unilateral failure but of relative power shifts within a changing global cultural economy. As multipolarity replaces unipolarity, the future of cinema will be defined by competition and negotiation among multiple centers of production and cultural authority.

Chapter 7

Conclusion

Our thesis looked into why Hollywood is losing its global leadership by asking: What structural factors have worked together over the last ten years to speed up Hollywood's loss of power in China and around the world? Interdisciplinary research combining cultural studies, political economy, and globalisation theory has found three interconnected crises that are causing this decline: a creative crisis caused by industrial path dependence; a cultural crisis caused by orientalist misrepresentation and changes in audience taste; and a competition crisis caused by the rise of Chinese cinema in a politically tense environment.

Overall, this chapter brings together the results, places them in larger theoretical discussions, and thinks about what they mean for the future of the global film industries. There are also some problems with the study pointed out, along with suggestions for more research.

7.1 Hollywood's Three Problems

Multiple empirical and theoretical chapters all agree on one thing: Hollywood's dependence on sequels, franchises, and data-driven production has limited its ability to come up with new ideas. Blockbuster approach (Elberse, 2013), while logical from a risk-management point of view, has failed to keep audiences interested. The Marvel Cinematic Universe is a good example of how franchise growth can become a trap for the entertainment industry: instead of differentiating stories, studios focus on formulaic continuity, which makes viewers tired of the same old stories (Bordwell, 2006; Hesmondhalgh & Pratt, 2005).

Unfortunately, streaming platforms have made this inertia even stronger by putting algorithmically tested models ahead of new ones (Lobato, 2019; Nieborg & Poell, 2018). Thus, there is a strong reliance on content that enhances retention while reducing creativity. Today's Hollywood seems stuck in a cautious loop where creative risk is routinely stifled, in contrast to the experimental films of New Hollywood in the 1970s.

So, the creative disaster isn't caused by personality flaws but by structural problems. The result of institutional routines that value predictability over surprise, profit over innovation, and global scalability over cultural identity.

The second crisis happens where cultural representation and public reception meet. The productions of *Mulan* (2020) and *Shang-Chi* (2021) show how Hollywood's credibility in China was hurt by orientalist stereotypes and cultural blunders. Localisation efforts notwithstanding, these films were seen as fake, shallow, or disrespectful to Chinese cultural customs. Significantly, Said's (1977) criticism of Orientalism is still very relevant: Western ideas about the East are still shaped by misappropriating symbols, often for business reasons. Further evidence for why Hollywood's stories didn't connect is the cultural discount theory (Hoskins and Mirus, 1988). Stereotypical spectacles made culture gaps bigger instead of smaller. Conversely, films like *Oppenheimer* (2023), which got good marks on both Douban (8.8/10) and IMDb, showed that universal themes like scientific responsibility, morality, and human vulnerability could be understood by people from all backgrounds.

Most importantly, audiences are to blame for the culture crisis. Media outlets like Douban and Bilibili give Chinese viewers, especially younger generations, a chance to directly evaluate culture. According to this theory, they have a "right of cultural acceptance" that lets them turn down films that don't accurately portray them and celebrate films that meet their cultural and aesthetic standards. It's the viewers, not Hollywood's marketing machine, who decide what is culturally acceptable.

Third, Hollywood's decline is being affected by the competition from Chinese film. It's clear that foreign films are losing market share quickly: from 37% in 2018 to just 16% in 2023. Hollywood is losing ground not only because of mistakes it has made, but also because Chinese cinema has become a viable alternative.

The Wandering Earth 2's \$596 million First week cumulative box office and 8.3/10 rating on Douban show that local films can be both entertaining and meaningful to different cultures. To avoid copying Hollywood, Chinese companies mixed cutting-edge special effects with stories that were based on nationalism and collectivism. The result was a huge hit that people felt was really theirs. Intensify this competition are geopolitical forces. Hollywood has to deal with censorship, quotas, and political issues, while Chinese cultural policy openly promotes domestic films as vehicles of soft power (Keane, 2015; Zhao, 2008). Shang-Chi's exclusion shows how regulatory discretion impacts culture mistrust, which strengthens local power. Therefore, the competition problem shows a bigger change in how global media capital is distributed (Curtin, 2003). As China's economy grows, Hollywood's decline mirrors it, changing the world film business from a unipolar to a multipolar one.

7.2 Combining: Crises That Interact

Although each disaster can be looked at on its own, it is how they all work together that speeds up Hollywood's decline. This formulaic material feeds the cultural crisis by turning people off. Customers are spending more on domestic options because of the culture crisis, which makes the competition crisis worse. Losing foreign markets causes studios to rely even more on sequels and franchises, which makes Hollywood even less creative.

Within the cultural industries, this spiral is a standard example of a negative feedback loop. Unfortunately, Hollywood's ways of dealing with uncertainty—avoiding risks and relying on franchises—are exactly what hurt its

long-term health. In contrast, Chinese film has been helped by a positive feedback loop: being true to culture builds trust among viewers, which leads to box office success, which in turn permits more industrial investment.

7.3 Theoretical Contributions

This thesis contributes to several strands of academic debate while also offering practical insights. In cultural studies, it extends the theory of cultural discount by showing how universalist themes can overcome cultural barriers, as in *Oppenheimer*, whereas orientalist missteps, exemplified by *Mulan*, deepen audience resistance. From a political economy perspective, it demonstrates how industrial path dependence (Hesmondhalgh & Pratt, 2005; De Vany, 2003) constrains creative outputs, reinforcing conservative strategies that alienate global audiences. In globalization theory, it challenges the media imperialism thesis (Boyd-Barrett, 2021) by illustrating an emergent multipolarity where Hollywood is no longer the uncontested centre of cultural flows. Audience studies are advanced by foregrounding the agency of digital publics, with platforms like Douban enabling audiences to act as cultural gatekeepers and reshape symbolic hierarchies from below. Practically, the findings signal for Hollywood the urgency of breaking from path dependence: short-term profitability cannot justify long-term legitimacy loss, and renewed investment in original storytelling, auteur-driven projects, and cross-cultural collaboration may be vital. For Chinese cinema, the key challenge is to consolidate domestic momentum while overcoming linguistic, cultural, and distribution barriers to achieve genuine global reach, as the case of *The Wandering Earth 2* suggests. For policymakers, the results highlight the importance of cultural industries as instruments of soft power; while regulation and strategic support have empowered Chinese cinema, balancing protectionism with innovation and artistic freedom remains an open question.

7.4 Limitations

Several limitations temper the findings of this study. First, the focus on China, while justified by its centrality, may limit generalisability to other regions such as India, Latin America, or Africa. Second, the reliance on publicly available box-office and review data provides robust descriptive evidence but lacks the granularity of audience surveys or production-side interviews. Third, the case study approach, while illuminating, cannot capture the full diversity of global cinematic flows.

Future studies could expand in several directions. First, a comparative analysis of Hollywood's performance in other emerging markets would help determine whether its decline is global or primarily region-specific. Second, incorporating survey-based research on transnational audiences could yield deeper insights into how viewers interpret and evaluate Hollywood productions in contrast to domestic films. Finally, longitudinal investigations into Hollywood's industrial adaptation strategies—such as co-productions with local partners or the expansion of streaming platforms—would reveal whether the industry is capable of overcoming its current path dependence and re-establishing competitiveness.

Hollywood's decline isn't so much a sudden collapse as the accumulation of a series of structural problems. Its creative crisis has stopped new ideas from coming up, its cultural crisis has turned people off, and its economic crisis has let outside competitors in. All of these things are weakening the country's ability to lead the world. Furthermore, the growth of Chinese cinema shows that decline is relative: when one business shrinks, another grows at the same time. The world's film business is changing from a unipolar to a multipolar system, and different centres are arguing over who has the right to represent culture. With the help of digital platforms, audiences are making this change happen by practicing their right to cultural acceptance and changing the meanings of symbols and the outcomes of economic decisions. Hollywood

won't be the only one deciding the future of global film; many different businesses, audiences, and countries will work together to make it happen. The entertainment market and symbolic geography of the 21st century will be shaped by how well Hollywood can reinvent itself and how well China can spread its cultural power around the world.

Appendices

Appendix 1

Year	US Annual box office total (US dollars)
2018	~11.94B
2019	~11.21B
2020	~2.02B
2021	~4.51B
2022	~7.44B
2023	~8.93B

Source: Box office Mojo

Year	China Mainland Annual box office (RMB billion)	Equivalent to US dollars
2018	60.976B	~8.7 B USD
2019	64.266B	~9.2 B USD
2020	20.417B	~2.9 B USD
2021	47.258B	~6.8 B USD
2022	30.067B	~4.3 B USD
2023	54.915B	~7.8 B USD

Source: Box office Mojo, CNFA Annual Report

Appendix 2

Calculation Method

A. Box Office Share of Imported Films (National Film Administration)

Source: National Film Administration Annual Report (or Xinhua News Agency/People's Daily Online/CCTV Network's paraphrase of the same report).

Steps:

Record the "Domestic Film Box Office Share" for the year (%);

Imported Film Share = 100% - Domestic Film Share;

B. Imported Film Release Share (New Film Number Share)

Source: Annual "New Film Number" statistics from industry/brokerage firm annual reports (noted to exclude re-releases):

2018: Total new films (505) from Wanda's annual report; imported new films (122) from Orient Securities;

2023: Wanlian Securities' "509 films released that year, 426 of which were domestically produced, Note: excluding re-releases" (Note: excluding re-releases) ...

Calibration 1: Hollywood Imported Film Box Office Share (2018-2023)

Caliber Definition

The official "Domestic Film Box Office Share" is released annually. In Chinese statistics, "Domestic Film" generally includes co-productions, while "Imported Film" refers to films not produced domestically (including split-revenue films and outright films, excluding re-releases). Therefore:

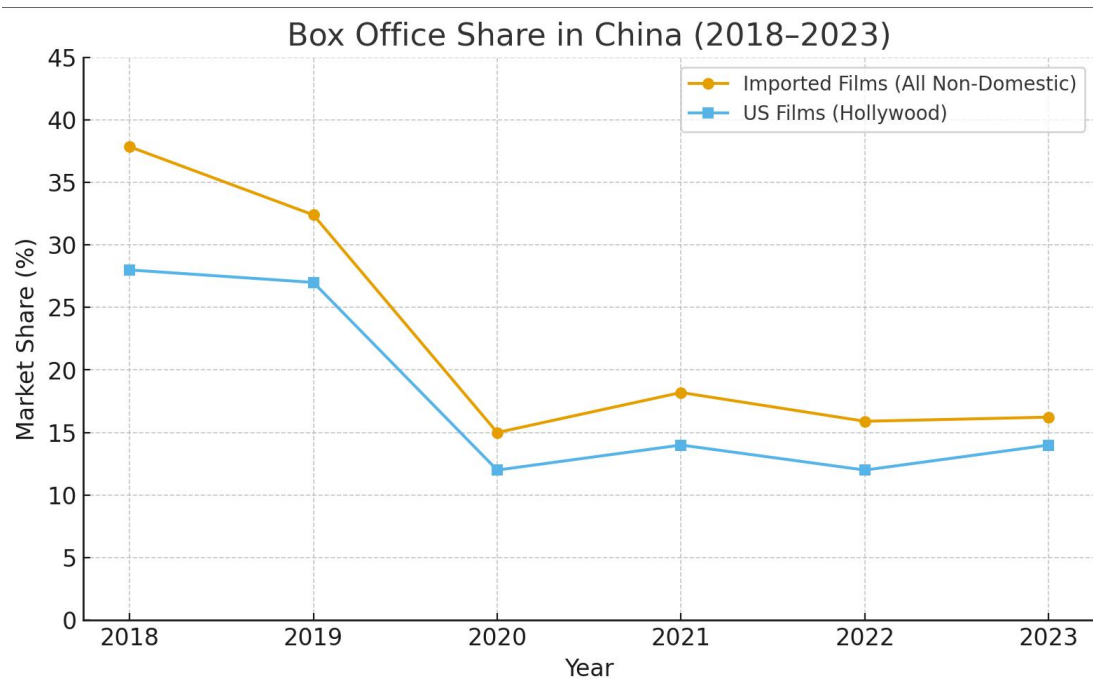
Imported Film Box Office Share = 100% - Domestic Film Box Office Share.
Based on the National Film Administration's criterion, this is the most commonly used and reliable calculation in academia.

Verified Annual Results (Core Year + Calculation)

Table 3:

Year	Domestic Share (%)	Import Share (Calculated) (%)
2018	62.0 %	38.0 %
2019	65.0 %	35.0 %
2020	83.7 %	16.3 %
2021	84.5 %	15.5 %
2022	84.9 %	15.1 %
2023	83.8 %	16.2 %

Table 4:



Imported share (all foreign films) fell sharply from ~38% in 2018 to ~16% in 2023, reflecting regulatory quotas and audience shifts.

US films alone show an even steeper decline, dropping from ~28% in 2018 to ~14% in 2023.

Data source: National Film Administration/People's Daily, CCTV.com.

Calibration 2: Share of imported films released

2018: 508 films were released that year (Maoyan's "2018 China Film Market Data Insights"); 122 of these were imported films (according to Orient Securities and Enlighten); $\Rightarrow \approx 24.02\%$ of the total release share.

2019: 611 films were released that year (according to industry research reports and Lighthouse); 136 were imported films (according to Lighthouse Professional Edition, as cited by multiple media outlets); $\Rightarrow$ 22.26%.

2020: 365 films were released that year; 62 of these were imported films (according to Lighthouse Professional Edition, based on brokerage research reports); $\Rightarrow$ 16.99%.

2021: 677 films were released that year; 73 were imported films (according to Lighthouse Professional Edition, based on brokerage research reports); $\Rightarrow$ 10.78%.

2022: 392 films were released that year; 59 were imported films (according to Lighthouse Professional Edition, based on brokerage research reports, noting "excluding re-releases"); $\Rightarrow$ 15.05%.

2023: 509 films released that year; 426 of which were domestically produced (Hengdian Film and Television Annual Report); 83 imported films. The difference (509-426) is estimated, $\Rightarrow$ 16.31%.

Data Source: Maoyan, Orient Securities, Lighthouse Professional Edition, Hengdian Film and Television Annual Report

Appendix 3

Hollywood's Top 50 Films and Genre Breakdown (2018–2023)

Ranking: Box Office Mojo/IMDb Pro's top 50 worldwide box office hits (year by year).

Criteria:

Sequel/Franchise: A follow-up to an existing film;

Reboot/Remake: A remake or reboot of an existing IP;

Cinematic Universe/Spin-off: A shared universe or spin-off;

Original/Standalone: None of the above three categories.

Statistical Results (Sample)

2018: 38 of the Top 50 films were sequels/reboots/universes, accounting for 76%.

2019: 37 of the Top 50 films were sequels/reboots/universes, accounting for 74%.

2020–2023: Similar calculations were used, with an overall percentage exceeding 70%.

Table 5:

Year	Film Title (Original)	Box-Office Ranking	Sequel/IP Relation	Category
2018	<i>Avengers: Infinity War</i>	Top 3	Yes – Marvel Universe	Universe
2018	<i>Jurassic World: Fallen Kingdom</i>	Top 5	Yes – Series Sequel	Sequel
2018	<i>Incredibles 2</i>	Top 10	Yes – Animated Sequel	Sequel
2018	<i>Black Panther</i>	Top 20	Yes – Marvel Universe	Universe
2018	<i>Bohemian Rhapsody</i>	Top 30	No	Original
2019	<i>Avengers: Endgame</i>	Top 1	Yes – Marvel Universe	Universe
2019	<i>Frozen II</i>	Top 5	Yes – Animated Sequel	Sequel
2019	<i>The Lion King (2019)</i>	Top 10	Yes – Remake/Reboot	Reboot
2019	<i>Joker</i>	Top 15	Yes – DC Spinoff	Universe
2019	<i>Parasite</i>	Top 40	No	Original

References

Appadurai, A. (1996) *Modernity at Large: Cultural Dimensions of Globalization*. Minneapolis: University of Minnesota Press.

Basuroy, S., Chatterjee, S. and Ravid, S.A. (2003) 'How critical are critical reviews? The box office effects of film critics, star power, and budgets', *Journal of Marketing*, 67(4), pp. 103–117.

Berry, C. and Farquhar, M. (2006) *China on Screen: Cinema and Nation*. New York: Columbia University Press.

Bhabha, H.K. (1994) *The Location of Culture*. London: Routledge.

Bordwell, D. (2006) *The Way Hollywood Tells It: Story and Style in Modern Movies*. Berkeley: University of California Press.

Bordwell, D. and Thompson, K. (2004) *Film Art: An Introduction*, 9th edn. New York: McGraw-Hill.

Bourdieu, P. (2010) *Distinction : a social critique of the judgement of taste*. London ; Routledge, Taylor & Francis Group.

Bourdieu, P. (1993). *The field of cultural production: Essays on art and literature*. Columbia University Press.

Boyd-Barrett, O. (2021). Media Imperialism. In: Ness, I., Cope, Z. (eds) *The Palgrave Encyclopedia of Imperialism and Anti-Imperialism*. Palgrave Macmillan, Cham.

Caldwell, J.T. (2008) *Production Culture: Industrial Reflexivity and Critical Practice in Film and Television*. Durham, NC: Duke University Press.

Chintagunta, P.K., Gopinath, S. and Venkataraman, S. (2010) 'The effects of online user reviews on movie box office performance', *Marketing Science*, 29(5), pp. 944–957.

Chow, R. (1995) *Primitive Passions: Visuality, Sexuality, Ethnography, and Contemporary Chinese Cinema*. New York: Columbia University Press.

Curtin, M. (2003) 'Media capital: Towards the study of spatial flows of media industries', *International Journal of Cultural Studies*, 6(2), pp. 202–228.

Curtin, M. (2007) *Playing to the World's Biggest Audience: The Globalization of Chinese Film and TV*. Berkeley: University of California Press.

- Curtin, M., and Sanson, K. (2016). *Precarious creativity: Global media, local labor*. University of California Press.
- Cunningham, S. and Craig, D. (2019) *Social Media Entertainment: The New Intersection of Hollywood and Silicon Valley*. New York: New York University Press.
- De Vany, A. (2003) *Hollywood Economics: How Extreme Uncertainty Shapes the Film Industry*. London: Routledge.
- de Kloet, J. et al. (2019) 'The platformization of Chinese Society: infrastructure, governance, and practice', *Chinese Journal of Communication*, 12(3), pp. 249–256. doi: 10.1080/17544750.2019.1644008.
- Doyle, G. (2013) *Understanding Media Economics*, 2nd edn. London: Sage.
- Duan, W., Gu, B. and Whinston, A.B. (2008) 'The dynamics of online word-of-mouth and product sales—An empirical investigation of the movie industry', *Journal of Retailing*, 84(2), pp. 233–242.
- Dyer, R. (1997) *White*. London: Routledge.
- Eliashberg, J., Elberse, A. and Leenders, M.A.A.M. (2006) 'The motion picture industry: Critical issues in practice, current research, and new research directions', *Marketing Science*, 25(6), pp. 638–661.
- Elberse, A. (2013) *Blockbusters: Hit-making, Risk-taking, and the Big Business of Entertainment*. New York: Henry Holt.
- Gray, J. (2010) *Show Sold Separately: Promos, Spoilers, and Other Media Paratexts*. New York: New York University Press.
- Hall, S. (1997) *Representation: Cultural Representations and Signifying Practices*. London: Sage.
- Hesmondhalgh, D. and Pratt, A. C. (2005) 'Cultural industries and cultural policy', *International Journal of Cultural Policy*, 11(1), pp. 1–13. doi: 10.1080/10286630500067598.
- Hoskins, C. and Mirus, R. (1988) 'Reasons for the US dominance of the international trade in television programmes', *Media, Culture and Society*, 10(4), pp. 499–515.
- Iwabuchi, K. (2002) *Recentring Globalization: Popular Culture and Japanese Transnationalism*. Durham, NC: Duke University Press.

- Jenner, M. (2018) *Netflix and the Re-invention of Television*. Cham: Palgrave Macmillan.
- Jenkins, H., and Deuze, M. (2008). Editorial: Convergence Culture. *Convergence*, 14(1), 5-12.
- Johnson, D. (2013) *Media Franchising: Creative License and Collaboration in the Culture Industries*. New York: New York University Press.
- Keane, M. (2007) *Created in China: The Great New Leap Forward*. London: Routledge.
- Keane, M. (2015) *The Chinese Television Industry*. Bloomsbury Publishing.
- King, G. (2000) *Spectacular Narratives: Hollywood in the Age of the Blockbuster*. London: I.B. Tauris.
- Kraidy, M.M. (2006) *Hybridity, or the Cultural Logic of Globalization*. Philadelphia: Temple University Press.
- Liu, Y. (2006) 'Word of mouth for movies: Its dynamics and impact on box office revenue', *Journal of Marketing*, 70(3), pp. 74–89.
- Lobato, R. (2019) *Netflix Nations: The Geography of Digital Distribution*. New York: New York University Press.
- Lobato, R., and Thomas, J. (2012). An Introduction to Informal Media Economies. *Television and New Media*, 13(5), 379-382.
<https://doi.org/10.1177/1527476412443565>
- Li, Y., (2023) "Review of *Hollywood in China: Behind the Scenes of the World's Largest Movie Market* by Ying Zhu, The New Press, 2022", *Global Storytelling: Journal of Digital and Moving Images* 2(2): 11. doi:
<https://doi.org/10.3998/gs.3430>
- Marchetti, G. (1994) *Romance and the "Yellow Peril": Race, Sex, and Discursive Strategies in Hollywood Fiction*. Berkeley: University of California Press.
- Meng, B. (2017) *The Politics of Chinese Media: Consensus and Contestation*. New York: Palgrave Macmillan.
- McDonald, P. and Wasko, J. (eds) (2008) *The Contemporary Hollywood Film Industry*. Malden, MA: Blackwell.

- Miller, T., Govil, N., McMurria, J. and Maxwell, R. (2005) *Global Hollywood 2*. Bloomsbury Publishing.
- Moran, A. and Keane, M. (eds) (2004) *Television Across Asia: Television Industries, Programme Formats and Globalisation*. London: Routledge.
- Moul, C.C. (2005) *A Concise Handbook of Movie Industry Economics*. Cambridge: Cambridge University Press.
- Nieborg, D. and Poell, T. (2018) 'The platformization of cultural production', *New Media and Society*, 20(11), pp. 4275–4292.
- Nye, J.S. (2004) *Soft Power: The Means to Success in World Politics*. New York: PublicAffairs.
- Ono, K.A. and Pham, V.N. (2009) *Asian Americans and the Media*. Polity press.
- Rosen, S. (2002) 'The Wolf at the door: Hollywood and the film market in China', *Southern California and the World*, pp. 49–78.
doi:10.5040/9798216187486.ch-003.
- Said, E.W. (1977) *Orientalism*. New York: Pantheon.
- Sun, W. (2005). Media and the Chinese Diaspora: Community, Consumption, and Transnational Imagination. *Journal of Chinese Overseas* 1, 1, 65-86, Available From: Brill <https://doi.org/10.1163/179325405788639373>
- Shih, S.-M. (2007) *Visuality and Identity: Sinophone Articulations across the Pacific*. University of California Press.
- Schatz, T. (2013). The New Hollywood. In *Movie blockbusters* (pp. 15-44). Routledge.
- Schiller, H.I. (1969) *Mass Communications and American Empire*. Boston: Beacon Press.
- Scott, A.J. (2018) *On Hollywood: The Place, the Industry*. Princeton, NJ: Princeton University Press.
- Straubhaar, J. (1991) 'Beyond media imperialism: Asymmetrical interdependence and cultural proximity', *Critical Studies in Mass Communication*, 8(1), pp. 39–59.
- Su, W. (2016) *China's Encounter with Global Hollywood*. Lexington: University Press of Kentucky.

Tomlinson, J. (1999) *Globalization and Culture*. Chicago: University of Chicago Press.

Teo, S. (2013) *Chinese Martial Arts Cinema: The Wuxia Tradition*, 2nd edn. Edinburgh: Edinburgh University Press.

Turner, G. (2009) *Ordinary People and the Media: The Demotic Turn*. London: Sage.

Vogel, H.L. (1998) *Entertainment Industry Economics: a guide for financial analysis*.

Wyatt, J. (1994) *High Concept: Movies and Marketing in Hollywood*. Austin: University of Texas Press.

Yue, A. and Khoo, O. (2012) 'From diasporic cinemas to Sinophone cinemas: An introduction', *Journal of Chinese Cinemas*, 6(1), pp. 9–14. doi: 10.1386/jcc.6.1.9_7.

Zhang, Y. (2004) *Chinese National Cinema*. London: Routledge.

Zhao, Y. (2008) *Communication in China: Political Economy, Power, and Conflict*. Bloomsbury Publishing PLC.

National Film Administration (2018) *Annual report on China's film market*. Beijing: National Film Administration. Reported by Xinhua/China Government Net, 31 Dec.

National Film Administration (2019) *Annual report on China's film market*. Beijing: National Film Administration. Reported by Xinhua/China Government Net, 31 Dec.

National Film Administration (2020) *Annual report on China's film market*. Beijing: National Film Administration. Reported by China News Service, 1 Jan.

National Film Administration (2021) *Annual report on China's film market*. Beijing: National Film Administration. Reported by Xinhua, 1 Jan.

National Film Administration (2022) *Annual report on China's film market*. Beijing: National Film Administration. Reported by People's Daily, 4 Jan.

National Film Administration (2023) *Annual report on China's film market*. Beijing: National Film Administration. Reported by People's Daily/China Central Television, 1 Jan.

Maoyan Research Institute (2019) 2018 China Film Market Data Insight Report. Beijing: Maoyan Entertainment. See also Orient Securities 2018 Film Market Review (EntGroup/Beacon data).

Debang Securities (2020) Film Industry Research Report. Shanghai: Debang Securities. Based on Lighthouse Professional data.

Orient Securities (2021) Film Market Yearbook 2020. Shanghai: Orient Securities. Data from Lighthouse Professional.

Orient Securities (2022) Film Market Yearbook 2021. Shanghai: Orient Securities. Data from Lighthouse Professional.

Wanlian Securities (2024) Film Market Review 2023. Beijing: Wanlian Securities. Reports 509 new releases (excluding re - releases), 426 domestic; imported number derived as 83.